

3-3a Unearned Revenues

The December 31 unadjusted trial balance of **NetSolutions** indicates a balance in the unearned rent account of \$360. This balance represents the receipt of three months’ rent on December 1 for December, January, and February. At the end of December, one month’s rent has been earned. Thus, the unearned rent account is decreased (debited) by \$120, and the rent revenue account is increased (credited) by \$120. The \$120 represents the rental revenue for one month ($\$360 \div 3$). The adjusting journal entry and T accounts are as follows:

Adjusting Journal Entry

Dec. 31	Unearned Rent	23	120
	Rent Revenue	42	120

Rent earned ($\$360 \div 3$ months).

Accounting Equation Impact

Assets	=	Liabilities	+	Stockholders' Equity (Revenue)															
		<table> <tr> <th colspan="2">Unearned Rent</th> <th>23</th> </tr> <tr> <td>Dec. 31</td> <td>120</td> <td>Bal. 360</td> </tr> <tr> <td></td> <td></td> <td>Adj. Bal. 240</td> </tr> </table>	Unearned Rent		23	Dec. 31	120	Bal. 360			Adj. Bal. 240		<table> <tr> <th colspan="2">Rent Revenue</th> <th>42</th> </tr> <tr> <td></td> <td>Dec. 31 120</td> <td></td> </tr> </table>	Rent Revenue		42		Dec. 31 120	
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After the adjusting entry is posted, the unearned rent account has a credit balance of \$240. This balance is a liability that will become revenue in a future period. Rent Revenue has a balance of \$120, which is revenue of the current period.

If the preceding adjustment of unearned rent and rent revenue is not recorded, the financial statements prepared on December 31 will be misstated. On the income statement, Rent Revenue and the net income will be understated by \$120. On the balance sheet, liabilities (Unearned Rent) will be overstated by \$120, and stockholders’ equity (Retained Earnings) will be understated by \$120. The effects of omitting this adjusting entry are as follows:

	Amount of Misstatement
Income Statement	
Revenues understated by	\$ (120)
Expenses correctly stated	XXX
Net Income understated by	\$ (120)
Balance Sheet	

Assets correctly stated	<u>\$XXX</u>
Liabilities overstated by Stockholders' equity understated by	\$ 120 (120)
Total liabilities and stockholders' equity correctly stated	<u>\$XXX</u>

Business Insight

Earning Revenues from Season Tickets

Madison Square Garden Company (MSG) owns the New York Knicks basketball team and the New York Rangers hockey team. The company sells season tickets prior to the season. The amounts received for season tickets are recognized as unearned revenue, a current liability. MSG recognizes revenue and reduces unearned revenue as the games are played through the season.

Link to Netflix

On a recent balance sheet, **Netflix** reported deferred revenue of \$925 million, which consisted primarily of billed membership fees that will be recorded as revenue in the next month.